

Americas Energy & Transition

Americas Oil: US refined product flows show why oil and product prices are disconnected amidst all-time high crack spreads



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Last week we showed the **massive disconnect between crude oil prices and refined product prices like gasoline and diesel** ([Americas Oil: Ignore the facts in front of you...the crack-implied oil price is >\\$90/bbl](#)). We used 321 crack spreads which explicitly require delivery into the US (NY Harbor). We showed that underlying consumer demand for refined products supported >\$90/bbl oil price but that oil prices (at the time) were <\$70/bbl.

Since then, another chapter in the Hormuz saga has lifted oil prices into the \$80s, but we have not seen a convergence between refined products and oil. **Crack spreads now sit at all-time highs.**

We sit at a sum of oil + crack spread ~ \$155/bbl. In the first quarter we warned that when the sum of oil+cracks approached \$180/bbl, demand destruction would loom ([Americas Oil: Three reasons that oil equities fall, and which are signalling a warning](#)).

In this note we show US-level and region-level refined product flows and demonstrate that **while governments (including the US) can release crude oil from strategic reserves to reduce oil price, the US has no comparable tool for reducing refined product prices.**

In the most recent month (Exhibit 1), more than 2 mln bpd of gasoline products entered or exited the US (finished gasoline, blend components, and unfinished oil) while nearly 2 mln bpd of diesel products entered or exited the US and for jet fuel, 0.4 mln bpd. Ratioed to what our refineries make, we move 24%, 35% and 20% of the gasoline, diesel and jet fuel that we refine. If we chose a normal month (a year ago), the volumes and ratios are very similar. Volumes and thus prices are linked to the globe. **To disconnect domestic prices from global prices would require massive re-wiring of global hydrocarbon flows.**

We also look at regions (Exhibit 2).

PADD-1 (Exhibit 3) (**East Coast - where Nymex sets prices for gasoline and diesel for physical delivery**) has a ratio of 10% and 100% of gasoline and diesel moved globally versus refined locally.

PADD-3 (Exhibit 4) (**Gulf Coast - the largest refining complex in the US**) has a ratio of 80% and 40% of gasoline and diesel moved globally versus refined locally.

PADD-5 (Exhibit 5) (West Coast) has a ratio of 25% and 35% of gasoline and diesel moved globally versus refined locally. We also show landlocked PADDs 2 and 4 (Exhibit 6 and Exhibit 7).

Current crack spreads are being driven by (1) strong underlying demand for products against (2) crude input prices artificially weakened by strategic inventory releases amidst (3) significant disruptions to refined product flows from two of the three largest oil producing regions on the planet (e.g., Strait of Hormuz and Russia).

Item (1) will persist so long as the global economy doesn't worsen.

Item (2) could see input prices rise as strategy inventory releases end (amidst a diminished appetite to extend them).

Item (3) could remain in place for quarters if no apparent end is achieved to the conflicts in the Strait of Hormuz or Russia.

Novel government policies are unlikely to improve the situation.

Ultimately, **"Gas stations" (sellers of refined products) are price-takers.** Consider the global giant Alimentation Couche-Tard (not covered). For the year ending April 26, 2026, they generated \$56.2 bln USD in road transportation fuel revenues with a gross profit after cost of sales of \$7.3 bln USD. That was smaller than their operating costs of \$7.5 bln USD. Merchandise and services saw gross profit of \$6.9 bln USD. **Gas stations effectively purchase the fuel at market prices and give the fuel away in exchange for associated convenience store sales.**

If fuel marketers are free to send refined products to a competitive market, US refined products prices need to compete with global prices and will remain linked.

Government subsidies for consumers (such as the small network of "Freedom Fuel" stations announced - [Freedom Fuel Network Gas Station Has Arrived – The White House](#)) are either too small in scale or too expensive to work (and by subsidizing price, they encourage more demand).

An **export ban** on refined products or **price fixing** are (1) solutions never attempted in the US, (2) solutions with a poor historic track record, (3) encourage the wrong behaviors (refineries reducing uneconomic runs), and (4) are we believe inconsistent with the US style of governing.

We note that the previous peak in crack spreads (post the 2022 invasion of Ukraine by Russia) persisted for multiple quarters given the lack of cessation of the conflict and the extended supply chains. **This situation could well be comparable and last for quarters.**

How to invest in the theme? We don't believe (1) OECD governments can endlessly release crude from strategic inventories in an attempt to improve product prices nor (2) that crude releases directly impact product prices. We believe the real solution is either (1) demand destruction resulting from even higher prices or (2) mitigation of impacted refining flows (which takes time).

Outside of our coverage, large cap refiners (VLO, MPC, PSX) benefit from high crack spreads ([Americas Oil: Inaugural Refining State of the Business 4Q25 – refining spreads drive the sector and have rarely been higher](#)). Inside our coverage, XOM (Outperform) is the most exposed to refining followed by CVX (Market-Perform).

BERNSTEIN TICKER TABLE

Ticker	Rating	16 Jul 2026		Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
APA (APA)	M	USD	34.28	40.00	68.7%	USD	2.83	7.20	6.42	12.1	4.8	5.3
CVX (Chevron)	M	USD	183.86	204.00	2.4%	USD	8.43	16.58	13.26	21.8	11.1	13.9
COP (ConocoPhillips)	O	USD	112.84	121.00	3.0%	USD	6.18	13.89	10.88	18.3	8.1	10.4
DVN (Devon Energy)	O	USD	43.03	59.00	15.3%	USD	4.17	10.06	8.43	10.3	4.3	5.1
FANG (Diamondback)	O	USD	190.13	241.00	19.0%	USD	4.57	32.21	27.22	41.6	5.9	7.0
EOG (EOG)	M	USD	138.46	155.00	(3.7)%	USD	9.88	18.93	16.25	14.0	7.3	8.5
EQT (EQT)	O	USD	49.40	69.00	(36.8)%	USD	3.31	8.15	8.58	7.7	4.8	4.6
EXE (Expand Energy)	O	USD	88.18	160.00	(38.9)%	USD	7.57	12.77	18.37	11.7	6.9	4.8
XOM (ExxonMobil)	O	USD	145.95	182.00	9.8%	USD	7.37	16.37	14.49	19.8	8.9	10.1
KOS (Kosmos Energy)	M	USD	2.15	2.40	(7.7)%	USD	(1.58)	1.13	0.75	(1.4)	1.9	2.8
KOS.LN (Kosmos Energy)	M	GBP	169.00	177.00	3.6%	GBP	(1.17)	0.83	0.56	(1.4)	2.0	3.0
SPX			7,533.77									
EDME			1,598.24									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

EQT estimate is Reported EPS; EQT valuation is EV/EBITDA (x);

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

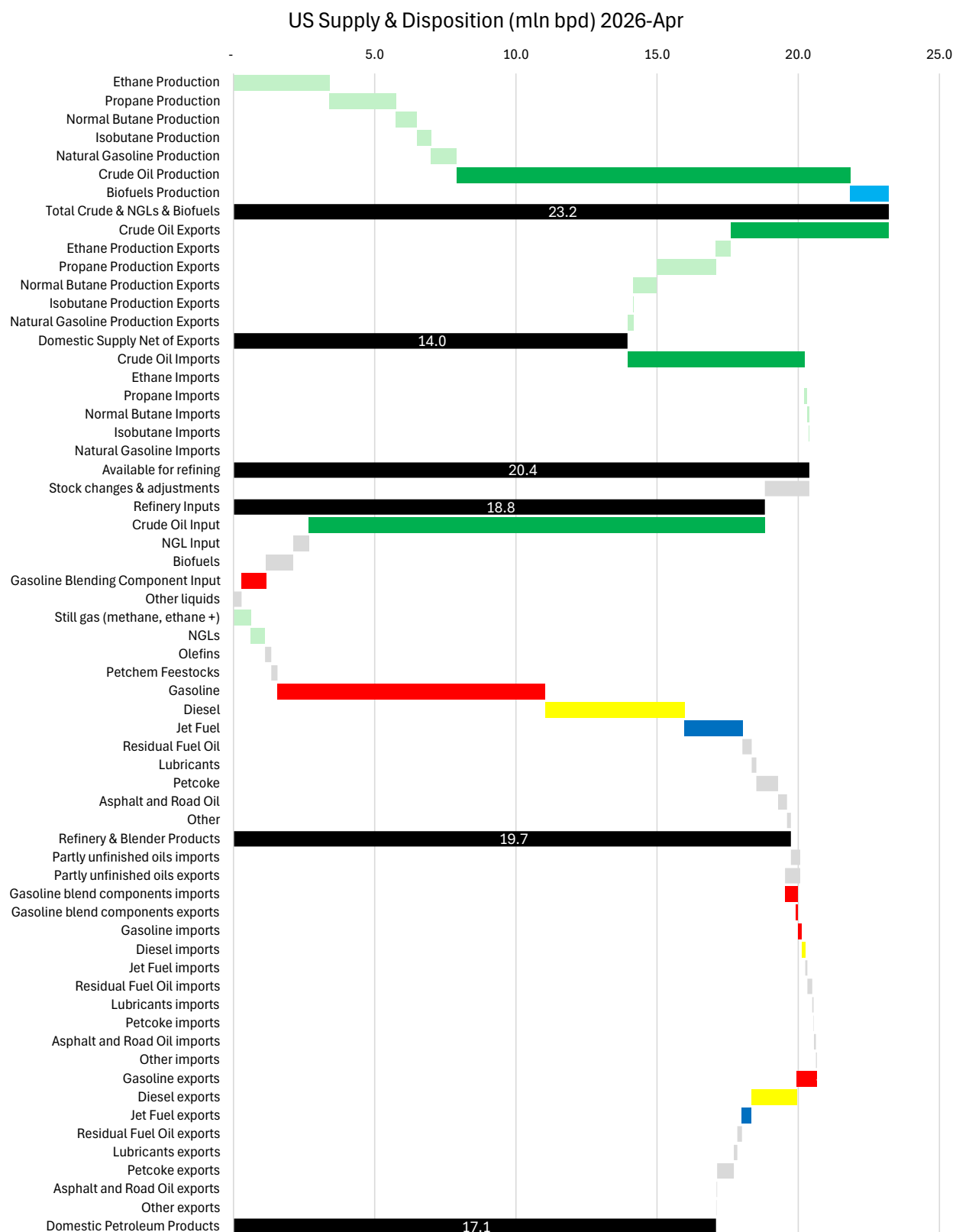
ExxonMobil (Outperform) and Chevron (Market-Perform) benefit from high crack spreads in addition to high oil prices.

DETAILS

For the most recent month we show the supply & disposition of crude oil and refined products in the US in mln bpd.

The US produced an impressive 23 mln bpd of hydrocarbon liquids (NGLs, oil and biofuels). 9 mln bpd was exported. 6 mln bpd of foreign crude was imported. We export significant volumes of light products (NGLs and light oil typically produced from shale wells) while we import significant volumes of heavier crudes (better suited to the refining complex of the US).

In the most recent month (Exhibit 1), more than 2 mln bpd of gasoline products entered or exited the US (finished gasoline, blend components, and unfinished oil) while nearly 2 mln bpd of diesel products entered or exited the US and for jet fuel, 0.4 mln bpd. Ratioed to what our refineries make, we move 24%, 35% and 20% of the gasoline, diesel and jet fuel that we refine. If we chose a normal month (a year ago), the volumes and ratios are very similar. To disconnect domestic prices from global prices (obviously net of transport, etc.) would require massive re-wiring of global hydrocarbon flows.

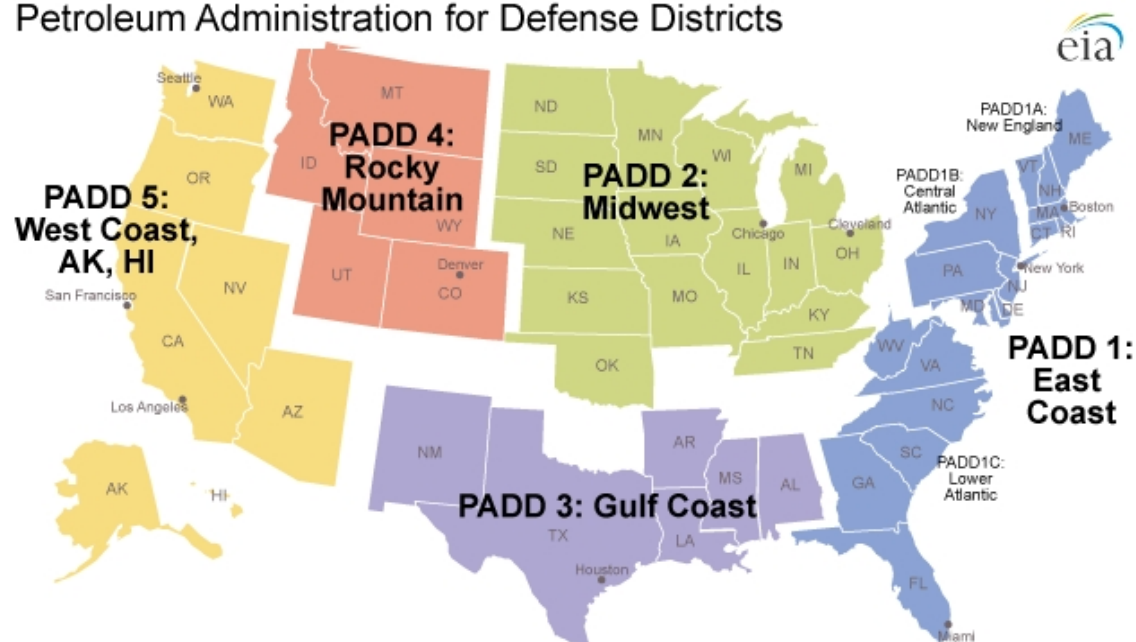
EXHIBIT 1: **The US is linked to the globe via crude import & export as well as refined product import & export**

Source: EIA; Bernstein analysis

The chart above shows the US as a whole. In fact the US has regional markets. Historically the Department of Energy divided the US into 5 PADDs (Petroleum Administration for Defense Districts) which each have unique flows .

EXHIBIT 2: **The US is conveniently divided into 5 districts for considering oil & product flows**

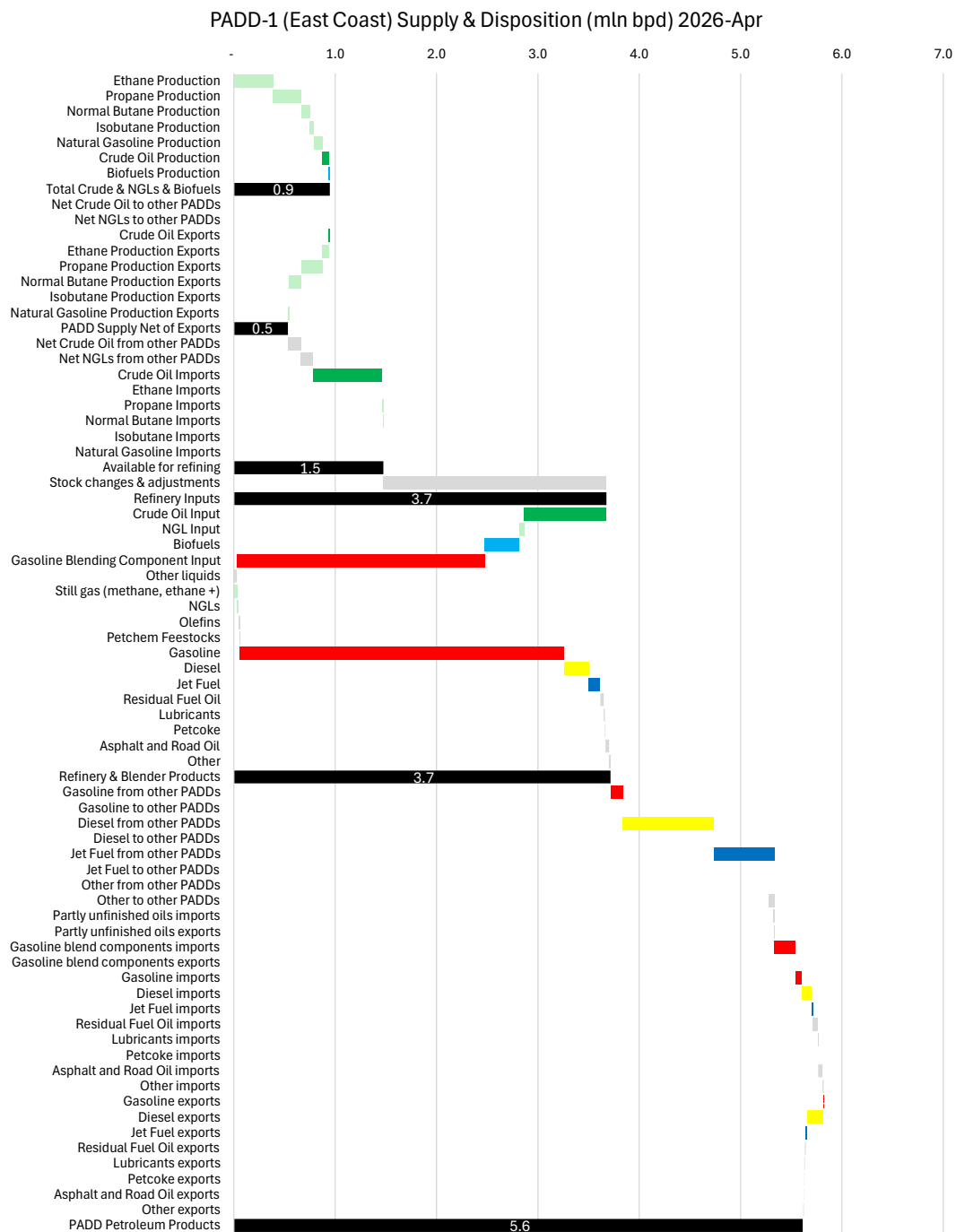
Petroleum Administration for Defense Districts



Source: EIA; Bernstein analysis

PADD-1 (Exhibit 3) (East Coast - where Nymex prices gasoline and diesel for physical delivery) has a ratio of 10% and 100% of gasoline and diesel moved globally versus refined locally.

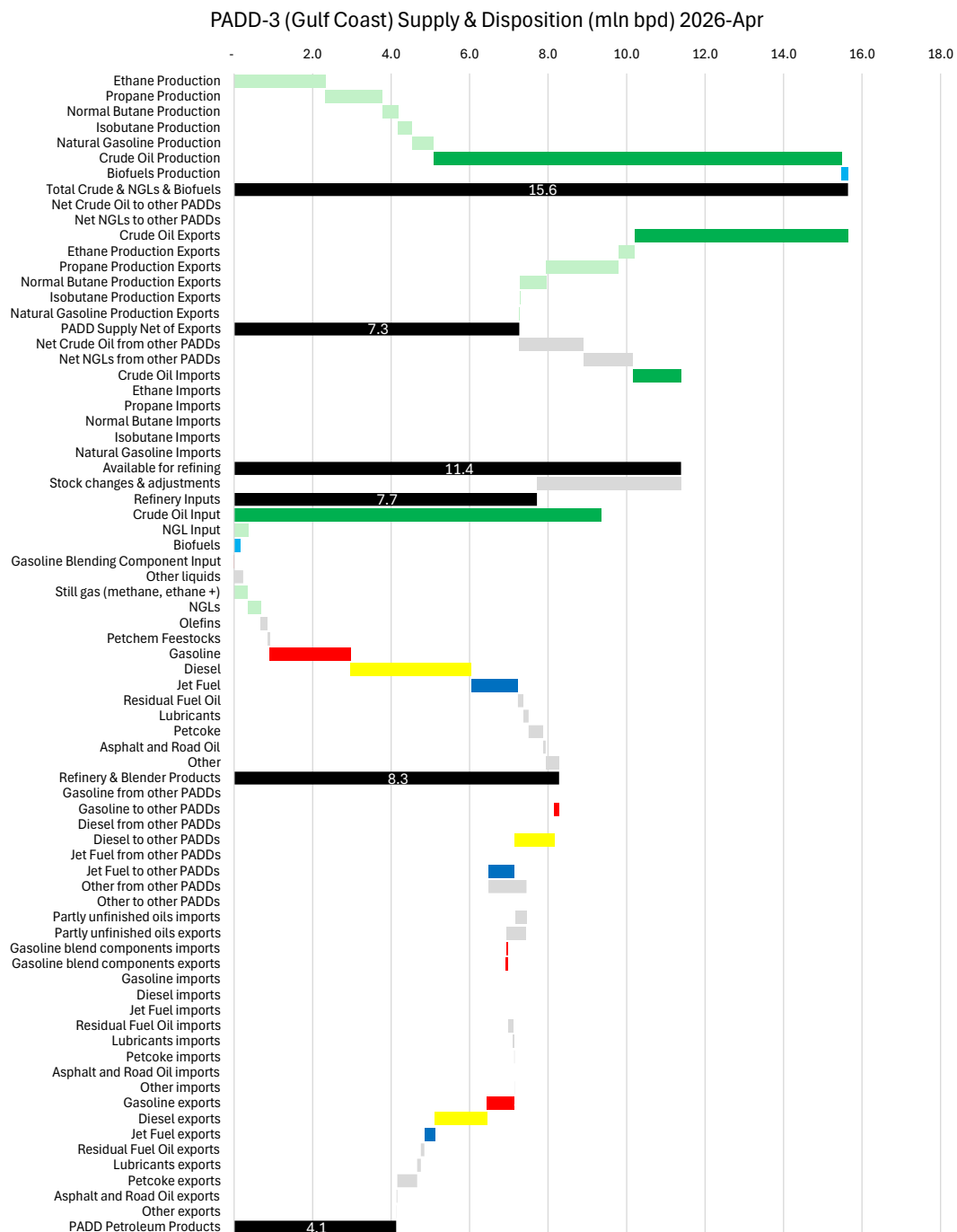
EXHIBIT 3: **PADD-1**



Source: EIA; Bernstein analysis

PADD-3 (Gulf Coast - the largest refining complex in the US) has a ratio of 80% and 40% of gasoline and diesel moved globally versus refined locally.

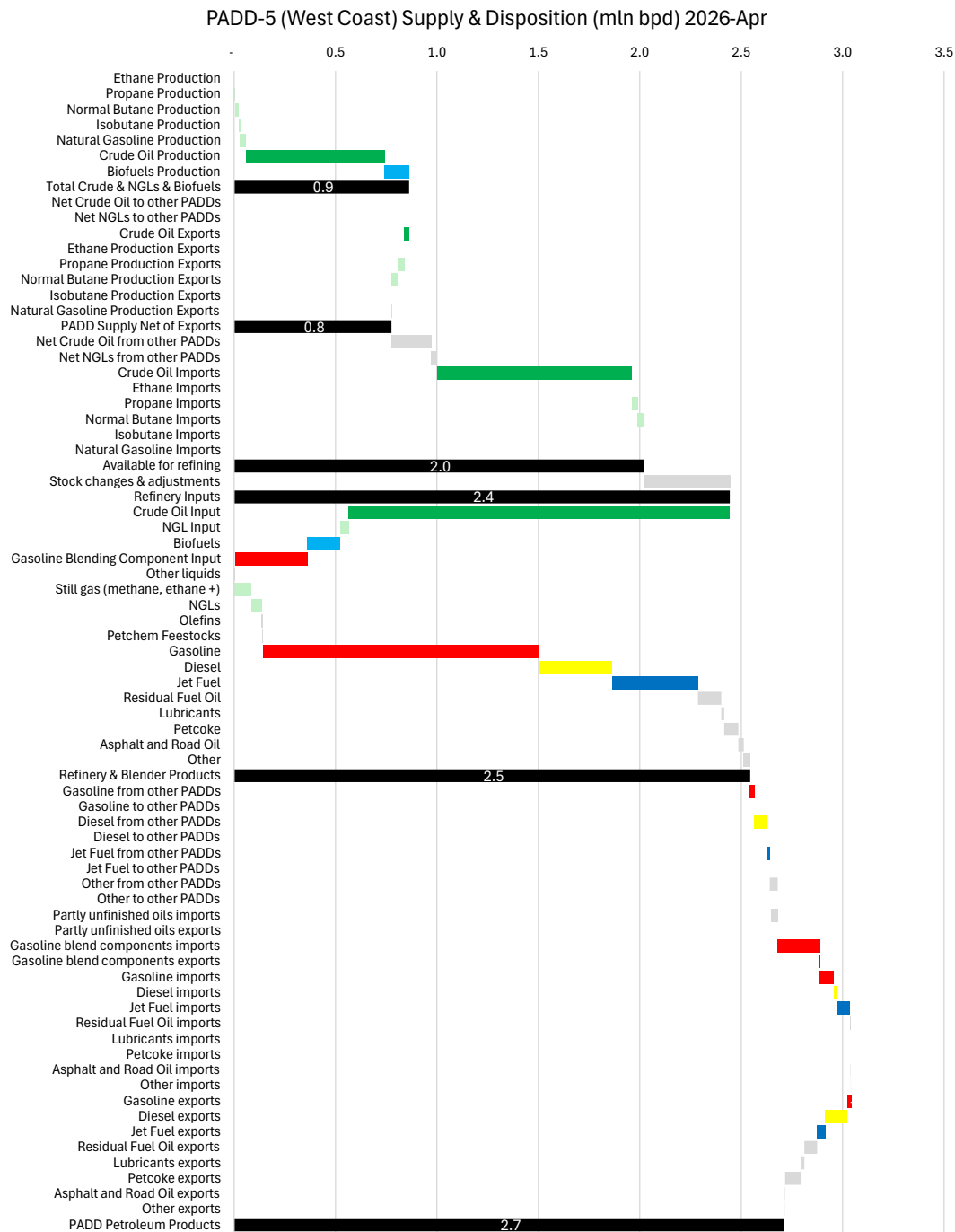
EXHIBIT 4: PADD-3



Source: EIA; Bernstein analysis

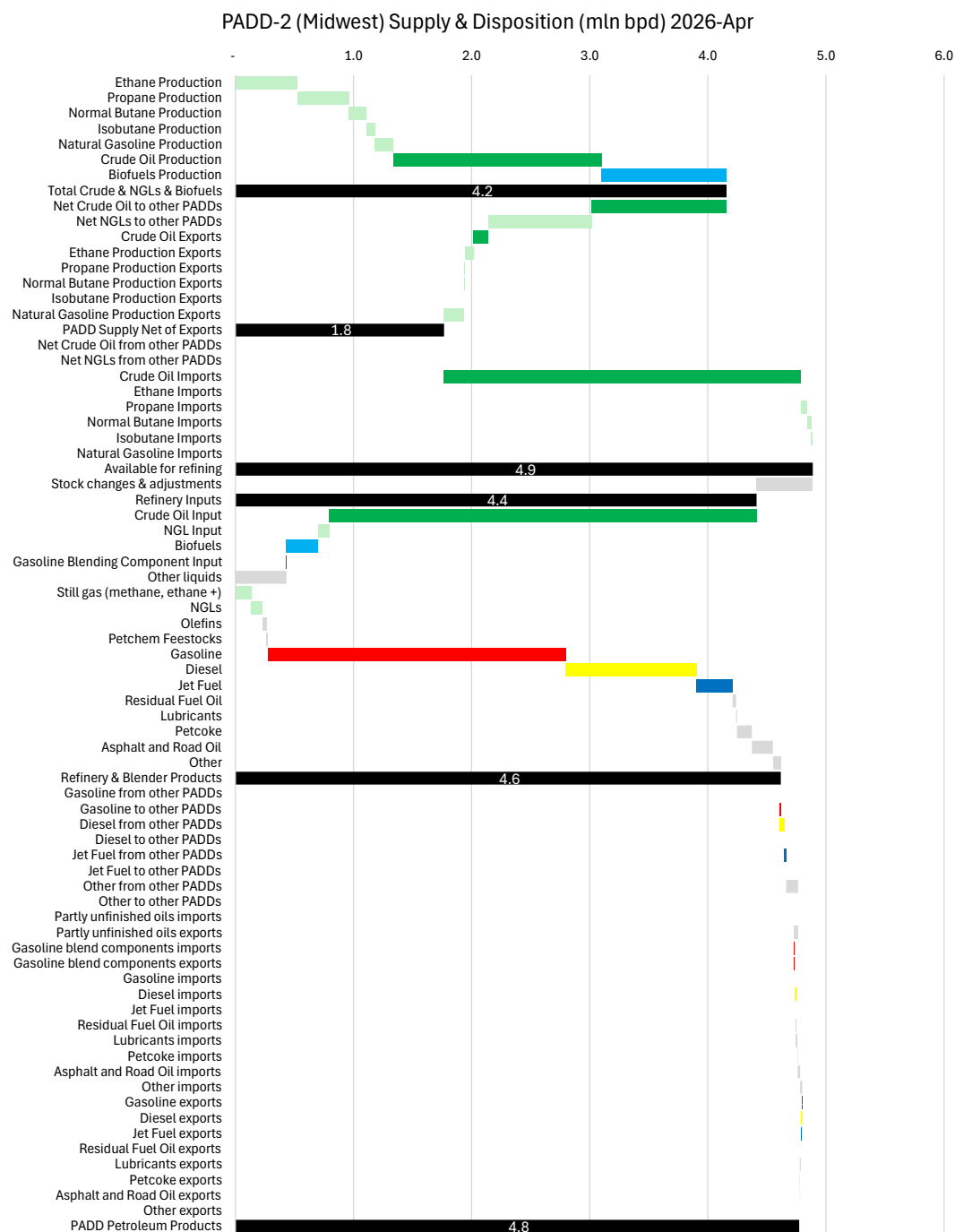
PADD-5 (West Coast) has a ratio of 25% and 35% of gasoline and diesel moved globally versus refined locally.

EXHIBIT 5: **PADD-5**



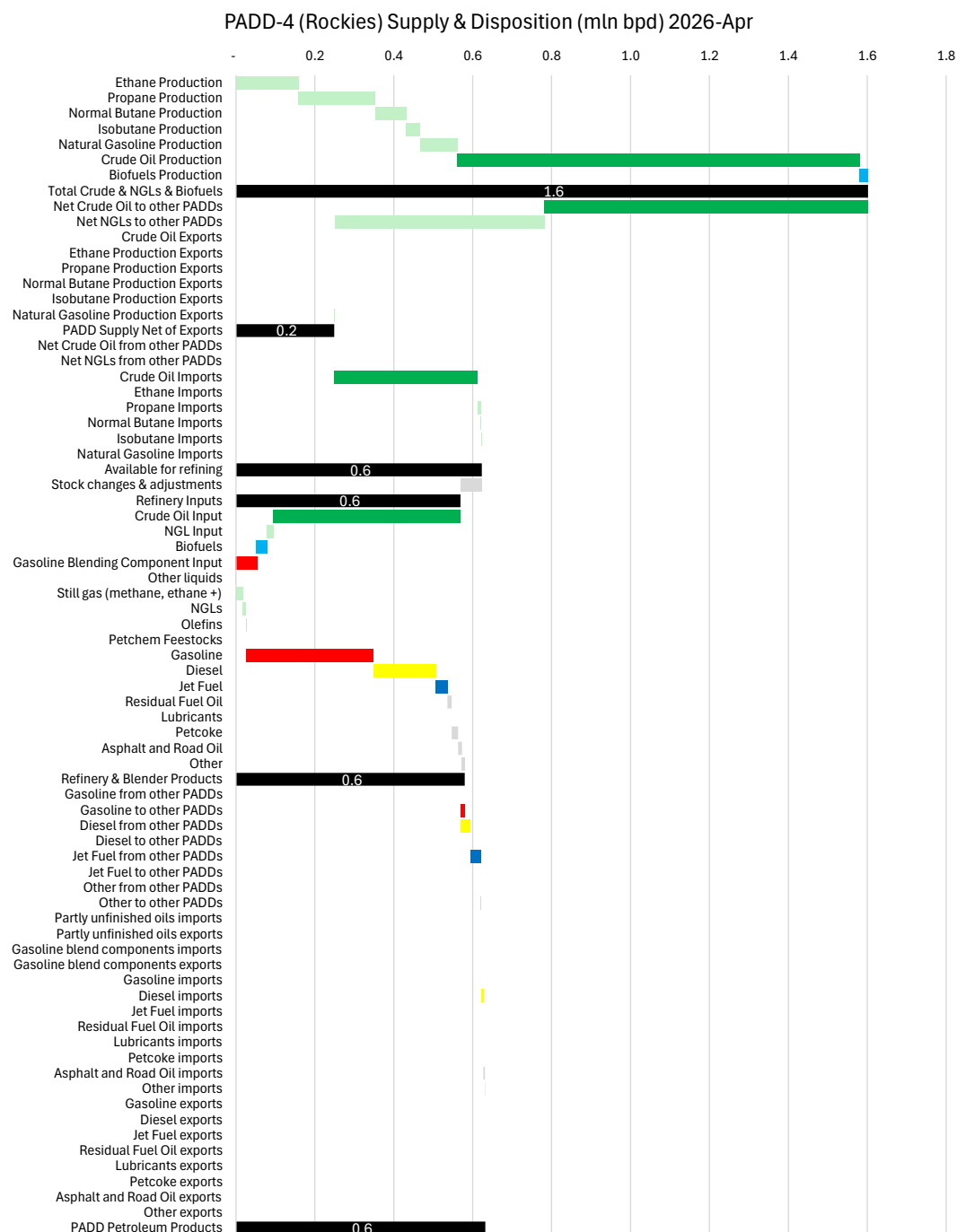
Source: EIA; Bernstein analysis

EXHIBIT 6: **PADD-2**



Source: EIA; Bernstein analysis

EXHIBIT 7: **PADD-4**



Source: EIA; Bernstein analysis

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